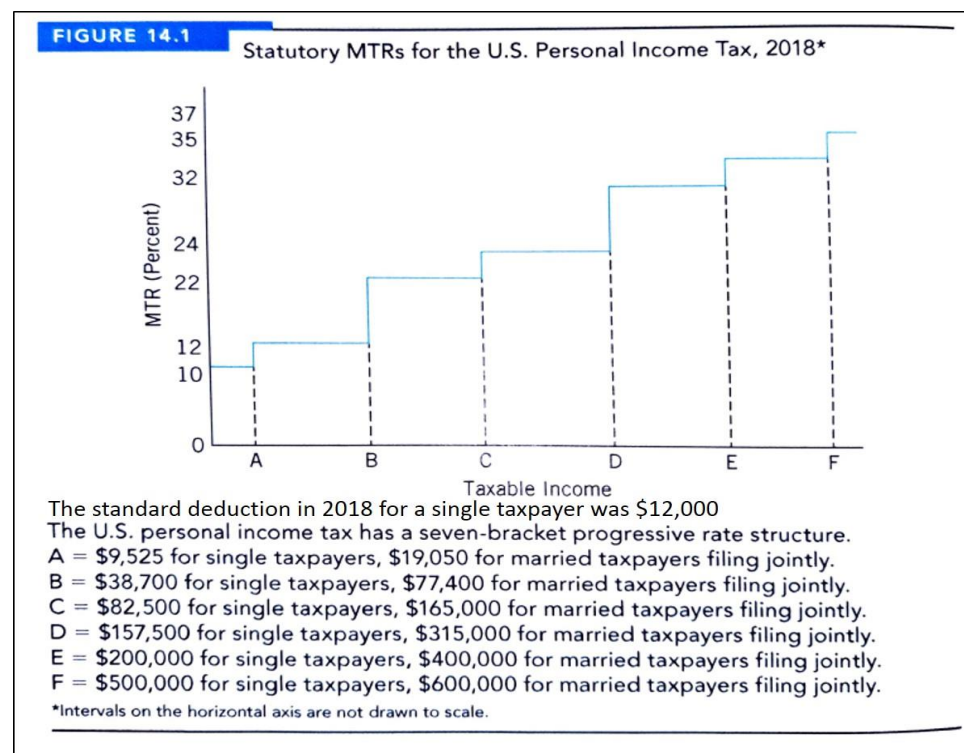


1. (Hyman 14.3) A single worker has gross income subject to tax of \$40,000. She makes a \$5,000 contribution to a special tax-deferred retirement plan offered by her employer. The worker claims one personal exemption for herself and has the following deductible payments: \$1,000 in mortgage interest, \$1,000 in state income tax, and \$500 in property tax. Does it pay the worker to itemize deductions when filing her 2018 tax return? Using the 2018 tax rate schedule shown in Figure 14.1, calculate the worker's tax liability



2. (Hyman 14.5) Suppose the current progressive income tax structure is scrapped and replaced by a 15 percent tax on all income with no exemptions or deductions allowed except that the first \$10,000 of income will not be subject to taxation. Explain why this so-called flat-rate tax is really still a progressive-rate structure. How will the elimination of tax preferences affect resource allocation and prices in markets? How could the reform, if it really simplified the complexity of the tax code, save resources? What are some common objections to the flat-rate tax?

3. (Rosen 17.3) Singh, who has a federal personal income tax rate of 28 percent, holds an oil stock that appreciates in value by 10 percent each year. He bought the stock one year ago. Singh's stockbroker now wants him to switch the oil stock for a gold stock that is equally risky. Singh has decided that if he hold the oil stock, he will keep it

only one more year and then sell it. If he sells the oil stock now, he will invest all the (after-tax) proceeds of the sale in the gold stock and then sell the gold stock one year from now. What is the minimum rate of return the gold stock must pay for Singh to make the switch? Relate your answer to the lock-in effect.

4. (Rosen 17.6) Suppose that a typical taxpayer has a marginal income tax rate of 35 percent. The nominal interest rate is 13 percent, and the expected inflation rate is 8 percent.

- a. What is the real after-tax rate of interest?
- b. Suppose that the expected inflation rate increases by 3 percentage points to 11 percent, and the nominal interest rate increases by the same amount. What happens to the real after-tax rate of return?
- c. If the inflation rate increases as in part b, by how much would the nominal interest rate have to increase to keep the real after-tax interest rate at the same level as in part a? Can you generalize your answer using an algebraic formula?

5. 根據中華民國 114 年度綜合所得稅結算申報書與所得稅法，請回答以下問題：

- (1) 目前的標準扣除額額度為多少？
- (2) 請列出我國綜合所得稅的列舉扣除額項目
- (3) 請列出我國綜合所得稅的特別扣除額項目

6. 請列出 114 年綜合所得稅最高級距累進差額的計算過程